



Framework for Blockchain-Based Community-Assisted Privacy- Preserving Reporting Service for Local Governance

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Abstract

Local governments in developing countries often struggle to address public issues efficiently. These struggles are mainly due to limited transparency, centralized data management, and insufficient citizen participation. E-governance and crowd-sourced reporting systems are designed to enhance public engagement. But their effectiveness is limited by issues related to data integrity, user anonymity, content reliability, and trustworthiness. As a solution to the above challenges, we propose a blockchain-based, community-assisted, privacy-preserving reporting framework for local governance. The main objective of the project is to design and prototype a permissioned blockchain-based reporting system. This system will enable citizens to anonymously submit public issue reports and participate in opinion polling. Also, our system will ensure data immutability and transparency. To manage reporting workflows, issue tracking, and community voting in a secure and tamper-resistant manner, the blockchain will use Proof-of-Authority (PoA) mechanism and smart contracts. User identity is decoupled from the report content using a simulated identity and an access control mechanism to preserve the privacy of the users. Large data objects, such as images, are stored off-chain with cryptographic hashes anchored on the blockchain. Additionally, an Artificial Intelligence (AI)-assisted content moderation mechanism will be used to minimize the impact of malicious, low-quality reporting content. To demonstrate the feasibility of the proposed framework, A web-based Decentralized App (DApp) is developed as a proof of concept within a controlled experimental environment. Through this project, we aim to deliver a practical and scalable prototype that enhances citizen participation, accountability, and trust in local governance systems.

Acknowledgments

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Contents

Abstract	i
Acknowledgements	ii
Contents	v
List of Figures	vi
List of Tables	vii
Acronyms	viii
1 Introduction	1
1.1 Problem Background	1
1.2 Problem Statement	2
1.3 Objectives and Scope	3
1.3.1 Aim	3
1.3.2 Objectives	3
1.3.3 Scope	3
1.4 Literature Review	4
1.4.1 Digital Citizen Reporting and e-Governance Systems	4
1.4.2 Blockchain for Local Governance Applications	5
1.4.3 Blockchain-Based Citizen Reporting and Complaint Management Systems	5
1.4.4 Permissioned Blockchains and PoA Consensus Mechanisms	7
1.4.5 Smart Contracts for Public Issue Management and Opinion Polling	8
1.4.6 User Interfaces for Blockchain-Based e-Governance Applications	9
1.4.7 AI-Based Content Moderation in Civic Reporting	11
1.4.8 Need for Automated Content Moderation	11
1.4.9 Architectural Approaches for AI Blockchain Integration	11

1.4.10	AI Oracles and Decentralized Oracle Networks	12
1.5	Report Outline	13
2	Background	14
2.1	Blockchain Technology	14
2.2	Permissioned Blockchain and PoA	14
2.3	Smart Contracts	15
2.4	Decentralized Applications (DApps)	15
2.5	InterPlanetary File System (IPFS)	15
2.6	Zero-Knowledge and Identity Concepts	16
2.7	AI-based Content Moderation	16
3	Methodology and Implementation	18
3.1	Methodology	18
3.1.1	Research Methodology	18
3.1.2	System Requirements Analysis	18
3.1.3	Proposed System Architecture	18
3.1.4	Proposed Workflow	18
3.1.5	Project Plan and Timeline	18
3.1.6	Expected Outcomes	19
3.2	Implementation	19
3.2.1	Permissioned Blockchain Implementation	19
3.2.2	Smart Contract Implementation	19
3.2.3	Identity and Access Control Implementation	19
3.2.4	IPFS Off-chain Storage Integration	19
3.2.5	AI-based Moderation System Implementation	20
3.2.6	Web-based DApp Development	21
3.2.7	Deployment Environment	21
4	Testing / Experimentation / Validation / Verification	22
4.1	Experimental Setup	22
4.2	Testing Methodology	22
4.3	Blockchain Performance Testing	22
4.4	Smart Contract Validation	22
4.5	AI Moderation Testing	23
4.6	IPFS Storage Testing	23
4.7	End-to-End Integration Testing	24
4.8	Results and Observations	24
4.9	Comparison with Existing Systems	24

5	Discussion	26
5.1	Novel Contributions of the Project	26
5.2	Overall System Validity	26
5.3	Advantages of Proposed Architecture	26
5.4	Limitations of Current Prototype	26
5.5	Real-world Applicability	27
6	Conclusion and Future Work	28
6.1	Conclusion	28
6.2	Future Work	28
A	Smart Contract Code	29
B	Oracle API Endpoints	30
C	Docker Compose Files	31
D	System Diagrams	32
E	Testing Screenshots	33
F	GitHub Repository Links	34
	Bibliography	35

List of Figures

1.1	System Architecture of the Police Complaint Management System.[?]	6
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List of Tables

Acronyms

AC - Alternating Current
DC - Direct Current
LV - Low Voltage
MV - Medium Voltage

Chapter 1

Introduction

Local governance is fundamental to the upkeep of public infrastructure and the overall well-being of the community. To address public problems such as damaged roads, issues in waste management, street light failures, effective communication between citizens and local authorities is critical. Recently, the integration of e-governance systems and crowdsourcing has improve the citizen participation and streamline the reporting and resolution of public issues.

However, most of the current systems rely on centralized architectures. This poses a challenge in dealing with data integrity, transparency, and user privacy. Citizens are reluctant to provide complaints about sensitive topics or criticism due to potential retaliation or the possibility of their personal info being abused. At the same time, the local government is faced with the challenge of verifying the authenticity of anonymous complaints raised by citizens.

Some of the key features of Blockchain technology are immutability, transparency, and decentralization. Those features can be used to address several limitations of conventional reporting systems. It is possible to design reporting platforms that protect user anonymity while ensuring the integrity and accountability of reported information by combining blockchain-based architectures and privacy-preserving mechanisms. This project examines the application of blockchain technology in developing a secure, community-driven reporting framework tailored to local governance contexts.

1.1 Problem Background

In the context of local governance, crowdsourced reporting systems and e-governance platforms are widely adopted. By using those systems, citizens can report issues, provide feedback and participate in decision making. It improves the inclusiveness and the accountability of every citizen. In developing countries like Sri Lanka, these systems have the potential to significantly improve the governance efficiency.

Timely identification and the resolution of public concerns are the key to governance efficiency.

However, despite their advantages, the conventional e-governance and reporting systems are still highly centralized, making them prone to various threats such as data tampering, illegal access, and single points of failure. In addition, the ability to track behavior down to individual users could serve as a discouraging factor, particularly in reporting delicate matters, in a system that lacks anonymity. Blockchain-based systems have appeared as a feasible solution for managing shared data in a tamper-proof and transparent manner. The ability of permissioned blockchains to enable controlled participation while maintaining accountability through trusted validators makes them a desirable choice for governance applications. By using smart contracts, reporting workflows and opinion polling can be automated rather than relying on centralized intermediaries.

While blockchain technology offers data integrity and transparency, it still poses challenges related to user privacy, content moderation, and trustworthiness among anonymous participants. These challenges remain open research and implementation problems. Combining blockchain with privacy-preserving identity mechanisms and AI-assisted moderation can help address these limitations and supports the need for a comprehensive framework for secure and reliable community-assisted reporting.

1.2 Problem Statement

The existing frameworks of e-governance and crowdsourced reporting systems for local governance do not provide an integrated mechanism that can guarantee data integrity, user anonymity, and trustworthiness of citizen submitted reports. Centralized architectures are prone to unauthorized access, data tampering, and loss of transparency. At the same time, identity dependent systems discourage citizen engagement due to privacy concerns and fear of retaliation.

Although blockchain has been applied to the context of local government context, many blockchain-based reporting systems still fail to balance anonymity with mechanisms for assessing the reliability and quality of submitted reports. Furthermore, the lack of content moderation and trust evaluation increases the risk of misinformation, and malicious or low quality submissions.

Therefore, there is a clear need for a privacy-preserving, blockchain-based reporting framework that enables anonymous citizen participation while ensuring data immutability, transparent workflows, and reliable evaluation of reported information. This project aims to address this gap by designing and prototyping a permissioned blockchain-based community-assisted reporting system that incorporates smart contracts, off-chain data storage, and AI-assisted content moderation

mechanism suitable for local governance environments.

1.3 Objectives and Scope

1.3.1 Aim

The aim of this project is to design and prototype a blockchain-based, privacy-preserving, community-assisted reporting system for local governance that empowers citizens to report public issues and provide their opinions in a transparent, accountable, and secure manner.

1.3.2 Objectives

1. Design and implement a permissioned reporting blockchain using a PoA consensus mechanism to ensure the integrity and immutability of citizen-submitted reports.
2. Design and deploy smart contracts to automate public issue reporting workflows, including ticket creation, issue resolution and closure, community voting as feedback on resolved issues, and separate opinion polling mechanisms for public consultation.
3. Develop user-friendly interfaces that enable citizens and authorized government officials to interact with the blockchain for reporting issues and tracking their resolution status.
4. Design and integrate an AI-based content moderation system to detect and filter inappropriate textual and visual content in user-submitted reports.

1.3.3 Scope

1. A prototype of the proposed blockchain will be implemented with a minimum of three full nodes. The PoA consensus mechanism will be used to enable efficient and controlled transaction validation within a permissioned network, while excluding deployment of public, permissionless blockchains or globally distributed ledger infrastructures.
2. User authentication and identity decoupling are managed through a simulated identity service, and the design and implementation of a fully decentralized Self-Sovereign Identity (SSI) blockchain are explicitly excluded from the scope of this project.

3. The integration of AI within the system is limited to content moderation using existing machine learning models, libraries, or external Application Programming Interfaces (Application Programming Interface (API)s), and the development of custom, from-scratch deep learning architectures is not within the scope of this work.
4. Transaction validation authority within the blockchain network is restricted to pre-approved institutional stakeholders, including local government entities and recognized non-governmental organizations, and does not permit anonymous public participation or Proof-of-Work (Proof-of-Work (PoW)) based mining.
5. The project emphasizes functional validation, system evaluation, and performance analysis within a controlled experimental environment, and does not address real-world legal compliance, regulatory adoption, legislative reform, or large-scale integration with existing national government information systems.
6. The user interface development is limited to a responsive, web-based DApp accessible via standard mobile and desktop web browsers, and explicitly excludes the development of native mobile applications (iOS or Android) or cross-platform native frameworks.

1.4 Literature Review

1.4.1 Digital Citizen Reporting and e-Governance Systems

Electronic governance (e-governance) is using the information and communication technologies to provide government services. This includes the support of government to citizens (G2C), government to business (G2B) , government to agencies (G2A) etc. By utilizing the e-governance platforms, everyone can gain access to whole range of public services. Additionally citizens can submit complaints and participate in governance decision making process. [?].

Digital citizen reporting system is one of the many use case of e-governance. "FixMyStreet" is a a such existing platform. It enable citizens to report issues for different issue categories. Sanitation, Traffic and Public Safety are some examples. Previous studies shows that these kind of systems improve governance administrative efficiency, civic participation and also they increase the transparency.[?].

Even though there are many benefits of digital citizen reporting in local governance as described earlier, most of them still use centralized server based architecture. This centralized approach have its own limitations and disadvantages.

Susceptibility to data tempering, lack of transparency are the main problems that impact heavily on public trust. In addition to that, mandatory identity disclosure is discouraging public participation on this kind of reporting systems. Therefore these problems motivate the findings of new decentralized, transparent and immutable architectures that still preserve user privacy with accountability.

1.4.2 Blockchain for Local Governance Applications

Blockchain is a technology that has been popular for its ability to have an immutable, transparent and decentralized ledger for public data. Hence, its a transformative tool for e-governance to address the problems that existing implementations had. The Blockchain allow us to verify the immutability of the records, so its suitable for governance applications where the trust and the accountability is crucial. [?], [?].

Blockchain based land registry system implemented in Cook Country, Illinois is a one real world example of the applicability of blockchain in local governance. They aim to reduce the property fraud by consolidating historical ownership records into a verifiable block in the blockchain. Similar to that Delaware has taken initiative to explore the use of smart contracts that's enable real time asset tracking and automate business fillings. This improves the regulatory compliance and oversights [?].

In addition to administrative efficiency, blockchain has been utilized for citizen centric services, such as secure digital identity management. Estonia has taken a initiative to integrate blockchain across healthcare, taxation and even electronic voting systems. So this can provide a mathematically verifiable audit trail for government data. MyPass project in Austin and the World Food Program's building blocks initiative also use Blockchain technology under the hood to manage encrypted identity and transaction records [?].

Despite the advancements in the blockchain base applications, existing literature highlights the challenges of adoption in governance. Scalability constraints, privacy concerns related to identity data, performance overhead and also the need of the legislative and institutional reforms are some examples. These factors needs to be addressed by carefully selecting blockchain architectures and consensus mechanisms before implementing systems for frequent citizen interactions.

1.4.3 Blockchain-Based Citizen Reporting and Complaint Management Systems

The traditional centralized platforms have data integrity issues, transparency issues and trust issues when it comes to citizen reporting. Past works also indicates that centralized complaint registries often have single point of failures , delayed

responses and public mistrust. Therefore blockchain integrated reporting services can be used to mitigate those issues.

A blockchain based police complaint management system has proposed by Pratheebea [?] contains a modular architecture. It's include security, blockchain, web interface and a hybrid cloud storage. This system ensure immutability of complaint records by cryptographic hash linking. And also it utilize RSA based encryption to restrict the access only to authorized personnel. In Addition to that, Pratheebea used a Natural Language Processing (NLP) techniques to automatically categorize complaints in the system based on their priorities.

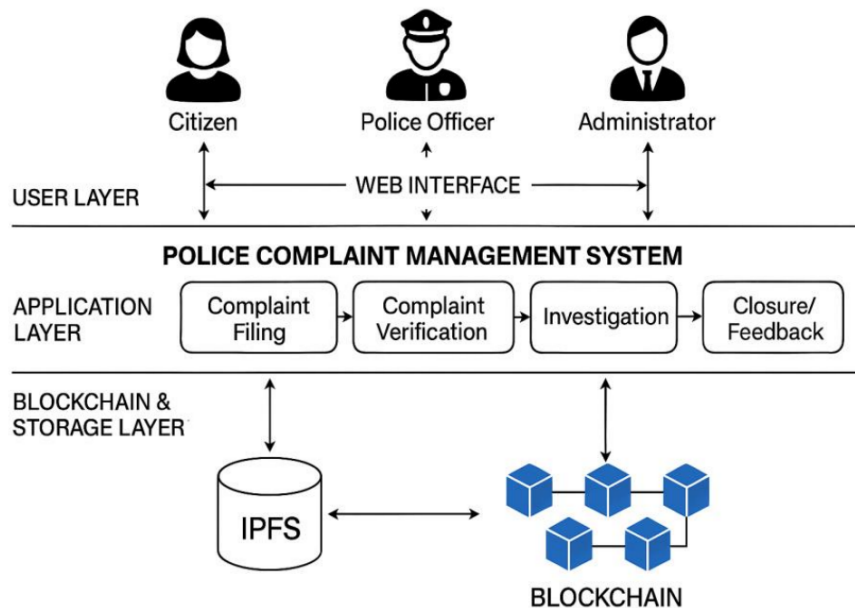


Figure 1.1: System Architecture of the Police Complaint Management System.[?]

A three tier architecture for decentralized complaint management framework has proposed by Manjula [?] is shown in the Figure 1.1. The three layers are web based presentation layer, a business logic layer and finally a blockchain data layer. This system has a role based access control method to involve multiple stakeholders. Citizens, Law enforcement authorities and judicial bodies are some of them. More importantly this system has a immutable storage for multimedia evidences. Intelligent complaint assignment based on workloads, automatic escalation mechanism are some of the key features of the framework. The experimental evaluations shows that a significant reductions in complaint processing time. The successful detection of data tampering also archived by blockchain verification.

In literature, existing blockchain based complaint management systems shows some improvements in transparency and administrative efficiency. But most of them are domain specific. They primarily target law enforcement or isolated governance functions. In addition to that several platforms still rely on centralized architectures. Only a limited attention is given for implementing a community assisted validation, for privacy preserving reporting mechanisms and efficient handling of multimedia evidences. Therefore these limitations highlight the need for a generalized reporting framework for local governance.

1.4.4 Permissioned Blockchains and PoA Consensus Mechanisms

Based on the participation and access control blockchain network can be classified in to two categories. [?]. They are permissionless architecture (public) and permissioned architecture. Bitcoin and Early Ethereum networks are permissionless blockchains. They allowed unrestricted participation and relied on consensus mechanism like PoW or Proof of Stake (Proof-of-Stake (PoS))[?]. These architectures and consensus mechanisms emphasized decentralization among participants. But they often suffer from the high latency of the network, limited throughput and unpredictable transaction costs due to congestion. These problems make the traditional permissionless PoW or PoS consensus mechanisms unsuitable for governance and crowdsourced applications[?].

While permissionless blockchains are unsuitable for governance related applications, permissioned blockchains restrict the network participation to authorized entities. This enables more efficient consensus mechanisms and greater control over governance data [?]. This known identities of participants allow permissioned systems to achieve higher performance. And support the regulatory compliances, data privacy and structured governance models as well cited in [2023]unleashing.

Other than PoW and PoS consensus mechanisms, PoA offer significant advantages over permissioned blockchains. PoW requires energy intensive computation. PoS relies on the economic stake and introduce wealth centralization risks. But on the other hand PoA depends on the identity and the reputation of pre approved validators[?], [?]. Therefore this PoA consensus mechanism enables high transaction throughput and low latency. And also it mitigate the issues such as the "nothing at stake" problem by off chain legal and reputational accountability [?], [?].

The government systems should have accountability, performance predictability and data confidentiality. The PoA is well suited consensus mechanism for that [?]. By using PoA we can have the ability to identify and regulate validator entities to align blockchain operations. It's because we have the existing legal frameworks that ensure institutional responsibility. Hence, can avoid malicious behavior [?].

In Addition to that PoA avoids the indeterministic transaction fees and support controlled validation environments. This make them viable for handling sensitive governmental data under regulatory constraints[?],[?]. As a result, PoA emerges as a practical consensus mechanism for permissioned blockchain-based reporting systems in local governance contexts.

1.4.5 Smart Contracts for Public Issue Management and Opinion Polling

In governance systems, to improve the transparency, efficiency and citizen participation, smart contracts have been explored as the good mechanism. Smart contracts can automate the governance rules and incentives by immutable code. It can support models like civic intelligence governance (CIG). In CIG, citizen engagement is encouraged through on chain participation and token based incentives[?]. Literature shows that approaches like CIG can improve participation rates and knowledge sharing while reducing relances on centralized intermediaries. In the context of multi organizational governance smart contracts also been used within dual blockchain architectures. This method separates transaction data from contract logic. It balance the transparency and privacy in Government to Government and Business to Business processes[?].

Smart contracts also support business processes in governance by embedding policy rules directly into executable logic. Bid submission, evaluation and contract execution are some of the use cases in the public procurement and tendering processes that smart contract hold its value. It also reduce the oppertunities for corruption and increase the accountability[?], [?], [?]. Similar benefits are observed in the blockchain based land registry systems. Smart contracts have enable immutable property records automated ownership transfers and enforcement of land use policies. This has reduced fraud and administrative inefficiencies[?], [?].

In the context of voting and opinion polling, smart contracts offer enhanced security, transparency, immutability and verifiability inherited from blockchain[?], [?]. There are advance mechanisms such as Quadratic Voting and also blockchain enabled participatory budgeting. Those mechanisms further extend citizen involvement in decision making. It have expressive preference representation and transparent allocation of public resources[?], [?]. In addition to these advantages, there exists some challenges related to scalability, privacy and system complexity when deploying voting and polling systems to large and diverse populations[?], [?].

1.4.6 User Interfaces for Blockchain-Based e-Governance Applications

User interfaces play a critical role in determining the accessibility and adoption of blockchain based e-governance systems. In the traditional applications the user literacy is less important but in this conventional blockchain applications the user literacy is highly considered because of the blockchain concepts that are different from the traditional apps and it does make the users hard to understand and adopt. The literature consistently identifies usability and user experience challenges as major barriers to the adoption of decentralized applications for the general public. Particularly where security requirements conflict with established usability principles [1], [2]. So the design of intuitive, inclusive, and responsive web interfaces is essential for enabling effective interaction between citizens, government officials, and the underlying blockchain infrastructure.

Usability Challenges in Decentralized Governance Systems

Decentralized applications are fundamentally different from traditional web systems due to its architectural characteristics. Blockchain based systems have asynchronous transactions, immutable records, and cryptographic identity management. They can create friction for users who are used to centralized platforms. Studies highlight a significant usability gap in Web3 applications because of the concepts like transaction finality, gas fees, and private key ownership which are difficult for non technical users to understand and manage [1], [2].

Identity Management and Cognitive Load

One of the most critical usability barriers is wallet based identity management. The reason is user identity is tied to cryptographic key pairs instead of institution managed accounts In decentralized systems. Research shows that the responsibility of safeguarding private keys and the unrecoverable key loss reduce the user participation. Specially in general public where inclusivity is essential [2], [3], [4].

The literature further shows that concepts such as self-sovereign identity and identity management remain poorly understood by most users. Studies report unsafe practices and misunderstanding of recovery mechanisms when users are presented with seed phrases or key-based authentication [5], [6]. These findings motivate the need for interface-level abstractions that preserve blockchain security while reducing cognitive load for citizens and officials.

Transaction Latency and User Feedback

Blockchain transactions are inherently asynchronous with confirmation times dependent on network conditions and consensus protocols. This latency can lead to confusion among the users because of the system status problems and users can determine those as system failures [2]. The literature recommends to use an optimistic user interface pattern, where user actions are acknowledged immediately while blockchain confirmation occurs in the background.

As advanced design solutions, literature shows progressive status disclosure, distinguishing between off-chain receipt of a report and on-chain verification which allows users to track the lifecycle of an issue without being exposed to unnecessary low level blockchain details [7], [8]. Mechanisms like that are particularly relevant for issue reporting systems that require transparency and trust.

Transaction Costs and Abstraction of Blockchain Complexity

A significant usability challenge coming from the blockchain is transaction cost that associated with public blockchains. And also the concepts of gas fees and fluctuating gas costs are very unfamiliar in public services context. Most of the time users expect free access to the reporting platforms[1]. The literature strongly suggest that the use of gas fee abstraction techniques. Meta Transactions is one of the example. In Meta, backend relay services submit transactions on behalf of the user. Its achieved by preserving cryptographic intent verification[2]. Therefore this approach enable citizen to interact with blockchain without technical or economical complexities.

Comparison with Centralized Reporting Platforms

FixMyStreet and SeeClickFix are existing centralized platforms. Eventhough they are centralized, they provide a valuable benchmarks for crowdsource citizen reporting interfaces. Intuitive map based reporting, simple authentication mechanisms and clear feedback loops are the key characteristics that attributed to platform success[9], [10].

With addition to that SeeClickFix further uses a gamification mechanism to encourage the users to participate in the system. In contrast, Even though the proposed application uses blockchain for reporting platform, it must retain the usability and the expectations of the users. The literature highlights the need of interface design such that gurantees the data integrity and auditability using familiar ui elements rather than cryptographic representations[11], [8], [12].

Accessibility and Inclusivity Considerations

Inclusivity is a fundamental requirement for e-governance systems. According to [13], it can be seen that poorly designed blockchain interfaces may digitally divide users. Also it may favor crypto-literate users excluding vulnerable populations. To reduce this issue, literature suggests mobile first design approaches. Furthermore, lightweight client architectures, efficient bandwidth synchronization can be used to support access in resource limited environments. [14].

1.4.7 AI-Based Content Moderation in Civic Reporting

Since blockchain is inherently immutable it introduces a unique challenge for content moderation in a civic reporting system. In centralized platforms, administrators can remove or edit inappropriate content. But in a decentralized blockchain based system data cannot be altered once confirmed [15]. While immutability strengthens transparency and accountability, it also raises the risk of permanently storing harmful, illegal, or misleading content. Therefore the literature focuses the need for pre moderation strategies to prevent unsuitable content from being recorded on chain or to limit its visibility after publication [7].

1.4.8 Need for Automated Content Moderation

Civic reporting platforms are susceptible to several forms of misuse that can compromise system reliability and public trust. Automated spam submissions, the submission of malicious or legally sensitive content, and deliberate dissemination of false or misleading reports are some of the common issues [16], [17], [18]. Manual moderation is impractical for above situations. Since the reporting system is large latency, human bias, and operational costs can occur. Furthermore it reintroduces the centralized control structure that blockchain system is aimed to minimize.

Therefore the literature supports AI assisted moderation as a scalable and efficient approach for filtering content before its permanent recording. It maintains the acceptable levels of decentralization [19], [20].

1.4.9 Architectural Approaches for AI Blockchain Integration

Due to the computational and storage limitations of blockchain platforms, AI-based moderation cannot be performed directly on chain. Off chain processing combined with on chain verification identified by existing researches as most practical approach [20], [21].

In this approach, reported content is first analyzed by AI models hosted off chain infrastructure or decentralized compute networks. The outcome of this analysis is a validation decision or a trust score. This outcome then submitted to the blockchain as a cryptographic proof or oracle response. Next the smart contracts verify those results before accepting the report. It will ensure that only the content meeting predefined policies are recorded on chain. BlockCITE is a example framework demonstrate how this separation preserves blockchain integrity while avoiding excessive on chain computation [22].

1.4.10 AI Oracles and Decentralized Oracle Networks

Oracles are trusted intermediaries that connect on chain and off chain. In here the AI oracles provides the computational results to smart contracts. Instead of simply retrieving external data to the blockchain, AI oracle perform content classification and verification tasks. Then it returns the structured results to the blockchain [23], [24].

There can be a risk of oracle bias or failure. To minimize the risk a decentralized oracle networks aggregate outputs from multiple independent AI nodes and determine consensus outcomes. This model reduces reliance on a single AI system. Therefore it improves te robustness by requiring agreement among multiple validators[24], [25].

Techniques for Content Analysis

AI-based moderation techniques vary based on the type of submitted content. Natural Language Processing (NLP) models are widely used to detect spam, hate speech and misinformation for text based reports. Studies report high accuracy when combining deep learning models with semantic embeddings. It makes them suitable for filtering large volumes of text submissions prior to blockchain recording [16].

For image based reports computer vision models are used to identify inappropriate contents. However recent advances in generative AI increase the risk of fabricated images. This literature proposes a hybrid verification pipeline that combine cryptographic provenance mechanisms with AI-based image analysis. This ensue that the submitted media is both authentic and contextually valid [26].

Hybrid Human AI Moderation Models

AI enable the scalable moderation. But it may struggle with contextual interpretation and edge cases. Because of that many studies advocate hybrid moderation models. In those models AI performs initial filtering and prioritization, while human reviewers handle disputed or ambiguous cases [19], [27].

Decentralized community based moderation further complement this approach. The models using community annotation systems, allow users or designated validators to challenge AI decisions during predefined review periods. In Addition to that dispute resolution handled by transparent governance mechanisms [7], [28]. Therefore these strategies reduce the reliance on central authority while maintain the accountability.

Ethical Considerations and Content Permanence

Ethical concerns are crucial when implementing systems by integrating AI driven moderation systems. The algorithmic bias and the accountability are the highlights in the literature. Biased training data can lead to unfair rejection of legitimate reports[29]. To minimize this risk explainable AI mechanisms are recommended. This enable users to understand the moderation decision and resubmit corrected reports [30].

Finally, the issue of “toxic immutability” remains a critical challenge for blockchain-based systems. To resolve this issue its suggested that to use a off chain storage systems like IPFS. If the content is later identified as illegal or harmful, it can removed from the off chain storage. But can preserve the immutable audit trail by recording it on the blockchain[26]. The transparency, legal compliance and ethical responsibility can be balanced by this approach.

1.5 Report Outline

Briefly describe what each chapter contains.

Usually 1 page maximum.

Chapter 2

Background

2.1 Blockchain Technology

Blockchain is a distributed, digital, append-only ledger technology. It enables data to be stored in immutable and transparent manner across multiple nodes in a network. Unlike centralized systems, blockchain systems maintain a synchronized copy of the ledger among all authorized participants. This approach reduces the dependency on a single intermediary controlling authority. Each block in the blockchain contains a set of validated transactions, a timestamp, and a cryptographic hash of the previous block. This hash-chaining mechanism ensures that any alteration to previous recorded data becomes immediately detectable.

Immutability is a key characteristic in blockchain technology. It is computationally impractical to alter or delete a transaction after it is confirmed and appened to the blockchain. The immutable property is significantly important in governance-related systems, because integrity and transparency are a must.

Cryptography plays a significant role in blockchain systems. To generate unique digital fingerprints of data, hash functions are used. To verify ownership and authenticity of transactions, digital signatures are used. By using above cryptographic methods, blockchain systems gurantee integrity, authenticity and non-repudiation of data.

2.2 Permissioned Blockchain and PoA

Bitcoin and Ethereum are permissionless blockchains, where anyone can participate as a node and validate transactions. In contrast, permissioned blockchains restrict participation to a predefined set of entities. These entities, often referred to as validator nodes. They are responsible for validating transactions and maintaining the integrity of the blockchain.

While permissionless blockchains rely on consensus mechanisms like Proof of Work or Proof of Stake, the Proof of Authority (PoA) consensus mechanism is specially designed for permissioned blockchains. In here instead of relying on computationally expensive mining or staking process the validator nodes in the permissioned blockchain are validating blocks. Therefore this approach is a reputation and identity-based mechanism, where the authority of the validators is based on their identity and reputation within the network. This allows for faster transaction processing and lower energy consumption compared to traditional consensus mechanisms, making it suitable for enterprise applications and private networks.

In the context of local governance perspective, such system requires predictable performance, immutability, transparency and accountability. PoA consensus running in a permissioned blockchain is well suited for these requirements because validators' identities are known and they are controlled by trusted entities. With addition to that, PoA eliminates the need for economic incentives. This makes it more efficient and practical for local governance applications.

2.3 Smart Contracts

Smart contracts are first introduced by Ethereum blockchain. They are self-executing contracts with the terms of the agreement directly written into code. In a blockchain based governance systems smart contract can be used to eliminate centralized administrative control. It can automate workflows that would traditionally require human intervention. Therefore this reduces the reliance on intermediaries, hence improves the transparency and trustworthiness.

The proposed system uses Solidity based smart contracts deployed on a private permissioned PoA blockchain.

2.4 Decentralized Applications (DApps)

Explain:

frontend blockchain interaction, Web3 concepts, relayers/meta-transactions.

2.5 InterPlanetary File System (IPFS)

The InterPlanetary File System (IPFS) is a peer-to-peer network protocol designed for storing and sharing files in a decentralized manner. Unlike the traditional web, where files are identified and accessed through server-based addresses such as URLs, IPFS locates files based on their content. This content-addressed approach improves resilience, reduces dependence on centralized servers, and provides an

efficient off-chain storage mechanism for blockchain-based applications. A fundamental concept in IPFS is the Content Identifier (CID), which is a cryptographic hash generated from the content of a file. If the file content changes, the CID also changes, ensuring strong integrity guarantees because users can verify that the retrieved content exactly matches the expected CID. Since identical content generates the same CID, IPFS also supports deduplication and immutable references. In the IPFS network, data can be hosted by any node that chooses to store or pin the content, allowing files to be retrieved from multiple peers using their CID. This decentralized storage model increases availability, improves fault tolerance, and reduces reliance on a single server, although long-term persistence depends on nodes continuing to pin the data. In blockchain-based systems, IPFS is commonly used as an off-chain storage layer because storing large files directly on-chain is costly and inefficient. Instead, applications store only CIDs and essential metadata on the blockchain, while the actual content remains in IPFS. Users can then retrieve the file through its CID and verify its authenticity using cryptographic hashing. Overall, IPFS provides a scalable and cost-effective decentralized storage solution that combines content integrity, distributed hosting, and efficient off-chain data management.

2.6 Zero-Knowledge and Identity Concepts

Zero-knowledge proofs allow a user to prove that they possess sensitive information without actually revealing the information itself.

The identity decoupling is critical requirement because citizens may hesitate to report sensitive problems they have if their identity is linked to the submitted report. Therefore we decouple identity of the citizen by using public-private key pair associated with the citizen. By leveraging this approach the blockchain ledger will record only pseudonymous identifiers, authorization tickets and cryptographic proofs. This ensure no sensitive personal information is ever publicly exposed.

2.7 AI-based Content Moderation

Citizen reporting platforms are vulnerable to spam Submissions, abusive content, misinformation, and malicious reports. Due to immutability of blockchain records, permanently storing harmful content presents significant ethical and operational concerns. Therefore, content moderation techniques are required before reports are recorded on-chain.

AI techniques are widely used for automated content moderation. Natural Language Processing (NLP) techniques are used in text moderation tasks such

as: toxicity detection, hate speech detection, spam filtering, and sentiment Analysis. For image moderation, computer vision and deep learning approaches are mostly used. Convolutional Neural Networks (CNNs) and transformer-based vision models can classify images based on categories like: explicit content, graphic violence, hate symbols, and unrelated media.

Chapter 3

Methodology and Implementation

3.1 Methodology

3.1.1 Research Methodology

Explain:

prototype-oriented approach, modular architecture, experimental evaluation.

3.1.2 System Requirements Analysis

Functional Requirements Non-functional Requirements

3.1.3 Proposed System Architecture

Introduce:

layered architecture, overall system design.

Insert:

overall architecture diagram.

3.1.4 Proposed Workflow

Explain:

authentication, report creation, moderation, blockchain anchoring.

Insert:

workflow diagram.

3.1.5 Project Plan and Timeline

Include:

Gantt chart, implementation phases.

3.1.6 Expected Outcomes

Examples:

anonymous reporting, immutable records, decentralized moderation, transparency.

3.2 Implementation

3.2.1 Permissioned Blockchain Implementation

Geth PoA Network Setup Validator Node Configuration RPC Communication

3.2.2 Smart Contract Implementation

Report Contract Ticket Validation State Transition Logic

3.2.3 Identity and Access Control Implementation

GovID Simulator Ticket Batch Generation Citizen Keypair Generation

3.2.4 IPFS Off-chain Storage Integration

The system employs IPFS as the off-chain storage layer dedicated to managing citizen-submitted report images. Rather than recording image files directly on the blockchain, only the Content Identifier (CID) produced by IPFS is passed to the smart contract for permanent on-chain recording. The CID is a cryptographic hash that uniquely represents the exact content of a file, such that any modification to the image produces an entirely different CID. This content-addressing mechanism ensures tamper-evident image storage while significantly reducing on-chain data overhead and improving overall system scalability.

The IPFS integration is implemented as a dedicated microservice structured using a layered architecture comprising route definitions, controller components, utility modules, and middleware layers. The middleware layer enforces file validation by applying image type and size restrictions before any content reaches the storage layer. The controller layer manages the core operations of image upload, CID-based image retrieval, CID verification, and pin management. The utility layer handles direct communication with the IPFS node through the Kubo RPC client.

The image upload workflow is managed entirely by the backend server. When a citizen submits a report through the DApp, the report data and attached image are sent to the backend server. The backend server forwards the image to the

AI moderation service for content analysis. If the image passes moderation, the backend server sends only the approved image to the IPFS microservice. The IPFS microservice uploads the image to the IPFS node, which pins the content permanently to prevent garbage collection, and returns the resulting CID to the microservice. The microservice passes this CID back to the backend server, which then combines the image CID with the report data and submits both to the smart contract for permanent on-chain recording.

During retrieval, the image CID is read from the blockchain by the backend server and forwarded to the IPFS microservice, which fetches the corresponding image from the node and returns it for display in the DApp. Since the CID is deterministically derived from the image content, the retrieved image can be independently verified against the on-chain record, confirming that the evidence has not been altered since its original submission.

The service additionally incorporates a CID verification mechanism that confirms a CID is resolvable on the IPFS network before the backend server submits it to the smart contract, preventing broken references from being recorded on-chain. A pin management mechanism is also included to handle image removal where necessary, such as when content is later identified as violating system guidelines. Removing the pin from the local node allows garbage collection to reclaim storage while the on-chain CID record is preserved as an immutable audit trail, directly addressing the toxic immutability challenge identified in the literature.

The complete service is containerised using Docker and deployed alongside the IPFS node as a two-container stack, with the IPFS microservice exposed externally on port 4000 and the IPFS node operating internally within the Docker network.

At the current stage of development, the system operates with a single IPFS node within the deployment environment. As a planned future implementation, three IPFS nodes will be deployed across three separate machines and connected as peers within a private controlled network. In this configuration, when an image is uploaded and pinned on the primary node, the two peer nodes will retrieve and independently pin the same content, ensuring redundant availability across all three machines. This multi-node setup will demonstrate the fault tolerance and decentralised storage properties of IPFS at prototype scale, and will operate entirely within the controlled laboratory environment without connecting to the public IPFS network, consistent with the defined project scope.

3.2.5 AI-based Moderation System Implementation

Balanced coverage only.

Subsections:

Oracle Architecture Oracle Workers Aggregation Logic Moderation Workflow
Security Mechanisms

Do NOT over-expand this section.

3.2.6 Web-based DApp Development

User Authentication Interface Report Submission Interface Blockchain Query Interface

3.2.7 Deployment Environment

Very important.

Discuss:

VPS infrastructure, Ubuntu server, Docker containers, service distribution.

Include deployment diagram.

Chapter 4

Testing / Experimentation / Validation / Verification

This chapter MUST look research-oriented.

4.1 Experimental Setup

Describe:

VPS specs, blockchain environment, Docker setup, software versions, datasets.

4.2 Testing Methodology

Explain:

subsystem testing, integration testing, functional testing.

4.3 Blockchain Performance Testing

Metrics:

latency, throughput, block confirmation.

4.4 Smart Contract Validation

Test:

report creation, state transitions, ticket validation.

4.5 AI Moderation Testing

Metrics:

moderation response time, classification correctness, voting consistency.

4.6 IPFS Storage Testing

The InterPlanetary File System (IPFS) serves as the off-chain storage layer of the proposed system, dedicated exclusively to storing citizen-submitted report images. Since storing image files directly on the blockchain is expensive and impractical, the backend server forwards approved images to the IPFS microservice, which uploads them to the IPFS node and returns the resulting Content Identifier (CID). The CID is a cryptographic hash of the image content, meaning if the image changes in any way, the CID changes as well. This design ensures image integrity without burdening the blockchain with large files. The backend server then submits this CID along with the report data to the smart contract for permanent on-chain recording.

At the current stage of development, the IPFS microservice has been successfully implemented, containerised using Docker, and deployed to the production server alongside the IPFS node as a two-container stack. The connection between the IPFS microservice and the underlying IPFS node has been established and verified through a health verification test conducted against the deployed service. The test confirmed a healthy status, a live connection to the IPFS node running version 0.41.0, and accurate node information, establishing that the foundation of the off-chain storage layer is stable, deployed, and ready for further integration.

However, since the backend server, the AI content moderation module, and the blockchain layer have not yet been completed, the full testing of the IPFS storage integration is still in progress. The remaining testing activities will be carried out progressively as the dependent components are completed by the respective team members.

Upload performance testing will be conducted once the backend server is ready to forward approved images to the IPFS microservice. Images of different sizes will be uploaded through the IPFS service layer and the time taken for each upload will be recorded and analysed to assess the responsiveness of the system under realistic reporting conditions.

Retrieval integrity testing will be performed to confirm that images downloaded from IPFS remain identical to the originals. After uploading an image and obtaining its CID, the same image will be retrieved using that CID and compared against the original content byte by byte to verify that nothing was lost or altered during storage and retrieval.

CID validation testing will be carried out to ensure that the generated CID accurately represents the corresponding image content. For each uploaded image, the CID produced by IPFS will be recorded, and after retrieval, the CID will be recalculated from the downloaded content and compared against the original value to confirm that the content-addressing mechanism functions correctly.

AI-assisted content moderation integration testing will be performed once the backend server connects its moderation pipeline to the IPFS microservice. These tests will verify that only images approved by the AI moderation service are forwarded to and stored on the IPFS node, ensuring that inappropriate content is rejected before any CID is generated or passed to the smart contract.

End-to-end integration testing between the IPFS microservice and the deployed smart contracts will be conducted once the blockchain layer and backend server are completed. These tests will verify that image CIDs recorded on-chain correctly resolve back to their corresponding images when fetched through the IPFS retrieval layer, confirming that the complete flow from image submission through backend server, IPFS storage, and on-chain recording operates as intended.

Finally, performance evaluation under simulated load will be carried out to measure upload throughput and retrieval latency when multiple concurrent image submissions are processed simultaneously, as outlined in the evaluation metrics defined in the methodology chapter. Additionally, the planned expansion to a three-node IPFS peer network across three separate machines will be validated to confirm redundant image availability and fault tolerance within the controlled laboratory environment.

4.7 End-to-End Integration Testing

Simulate:

- citizen submits report, moderation, IPFS upload, blockchain recording.
- Include screenshots.

4.8 Results and Observations

Use:

- tables, graphs, screenshots.
- Very important according to coordinator.

4.9 Comparison with Existing Systems

Examples:

centralized systems, traditional moderation, public blockchain approaches.

Chapter 5

Discussion

This chapter explains:

- significance, novelty, limitations, insights.
- Coordinator explicitly emphasized this.

5.1 Novel Contributions of the Project

Examples:

- pseudonymous reporting, decentralized moderation, hybrid architecture.

5.2 Overall System Validity

Discuss:

- whether objectives achieved, practical feasibility.

5.3 Advantages of Proposed Architecture

Examples:

- transparency, modularity, scalability.

5.4 Limitations of Current Prototype

Examples:

- simulated ZKP, limited oracle decentralization, controlled testing environment.

5.5 Real-world Applicability

Discuss:

local government usage, public reporting systems, governance transparency.

Chapter 6

Conclusion and Future Work

6.1 Conclusion

Summarize:

achievements, implementation progress, significance.

NOT same as abstract.

6.2 Future Work

Examples:

real ZKP integration, advanced AI models, distributed IPFS clusters, mobile application, DAO governance.

Appendix A

Smart Contract Code

Appendix B

Oracle API Endpoints

Appendix C

Docker Compose Files

Appendix D

System Diagrams

Appendix E

Testing Screenshots

Appendix F

GitHub Repository Links

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